ICAB November-December 2024 Exam
Case Study
Model Answer:

Draft Report

To : Board of Director, Infinity Ceramics Limited

From : Abdullah Nahiyan FCA, Equity Partner, Strategy & Transaction Consulting Limited

Date : 24 December 2024

Subject : Report on Assessment of business operation and performance, advising on accounting & tax issues, regulatory matters, evaluation of strategic options, suggestion of investing and financing options, and analysis of ethical issues and sustainability factors of the business.

Terms of Reference:

This report has been prepared for the board of directors of Infinity Ceramics Limited and for their internal purpose only. No part of the report can be reproduced or used for any other purpose without prior permission.

Table of Contents

1. Executive Summary: 3
2. Adjustment schedule and performance evaluation of adjusted financials. (Requirement-a-1) 8
3. Evaluate of the SWOT of Infinity's existing business (Requirement a-ii): 15
4. NPV analysis of the investment options, recommendation with justification and comment on compatibility with vision and mission (Requirement B-i): 19
5. Evaluation of viability of sale & lease back of land as financing option (Requirement b-ii): 22
6. Expected share premium in IPO and number of new shares to be issued (Requirement b-iii): 23
7. Non-financial factors to be considered for both financing options (Requirement b-iv): 26
8. Comment on the ethical issues involving Infinity's business (Requirement C-i): 28
9. Assessment of sustainability factors of Infinity's business (Requirement C-ii). 30
10. Appendices: 33

10.1. Appendix 1 - Analysis of Adjusted Balance Sheet: 33

10.2. Appendix 2 - Analysis of Adjusted Statement of Profit & Loss: 34

10.3. Appendix 3 - Mix analysis: 34

10.4. Appendix 4: Ratio Analysis: 35

1. Executive Summary:

1.1. Evaluation of financial and non-financial performances of Infinity Ceramics Limited.

Infinity Ceramics Limited faced a tough year in 2024, with revenue dropping by 32.21% due to gas shortages, political instability, and supply chain disruptions. Local sales took the biggest hit, while export sales, though also down, showed better profitability.

Rising costs for materials and energy squeezed margins, and after accounting adjustments, the company posted a net loss of BDT 19.8 million. Liquidity slightly improved, but with minimal working capital, Infinity remains vulnerable to financial shocks. Its debt load is still high, and with an interest coverage ratio of just 1.15, paying off loans is becoming increasingly difficult.

Beyond the numbers, Infinity struggled with production delays, missed export deadlines, and growing worker dissatisfaction over wages and job security, leading to protests. The company has made strides in sustainability with eco-friendly initiatives, but challenges like high carbon emissions and hazardous waste persist.

Governance concerns, including outdated land valuations and ties to politically linked businesses, also pose risks. Despite these setbacks, Infinity's strong brand reputation, focus on CSR, and the profitability of its export sales could provide a path forward—if it can improve operations, manage costs, and strengthen financial transparency.

Recommendation to the board:

- Focus on expanding profitable export markets to counteract domestic competition and economic instability.
- Reduce dependency on expensive raw materials, invest in energy-efficient technology, and optimize production to lower costs.
- Enhance working capital management, restructure high-interest debt, and improve financial transparency to mitigate financial risks.
- Resolve employee grievances through timely wage adjustments, improved communication, and leadership training for local employees.
- Conduct regular land revaluations, reduce exposure to politically linked entities, and strengthen corporate governance to maintain investor confidence.
- Establish alternative supplier networks, implement digital tracking systems, and create contingency plans to mitigate disruptions.

1.2. SWOT Analysis

Infinity Ceramics has a strong brand reputation with over 30 years in the industry, catering to both B2B and B2C markets with a diverse product range. Its strategic location in Gazipur ensures smooth distribution and cost efficiency. Export potential remains strong, backed by Bangladesh's growing ceramics sector. Vertical integration enhances quality control, while a commitment to sustainability aligns with global ESG trends.

Infinity is heavily reliant on imported raw materials, making it vulnerable to supply chain disruptions and cost fluctuations. Gas shortages and labour unrest create operational instability, affecting productivity. Declining tableware demand due to changing consumer behaviour threatens revenue growth. Financial reporting weaknesses and audit concerns may hinder investor confidence, especially ahead of its IPO.

Expanding into sanitaryware and tiles can reduce dependence on tableware and tap into high-growth markets. Technology and automation can improve efficiency, reduce labour costs, and enhance product quality. Government incentives like tax breaks and export rebates offer financial support for expansion. Strengthening digital and e-commerce channels can unlock new revenue streams and widen market reach.

Infinity faces intense competition from both local and international players, pressuring pricing and profitability. Economic downturns, inflation, and currency fluctuations pose financial risks. Regulatory hurdles and compliance requirements add complexity to IPO plans and expansion strategies. Political instability, labour unrest, and export uncertainties may disrupt operations and impact long-term growth.

Recommendation to the board includes:

- Diversifying into these segments will reduce reliance on tableware, align with growing domestic demand, and tap into global export opportunities. A joint venture with an international partner can provide technology, expertise, and market access.

- Improving internal controls, IFRS-compliant reporting, and transparency is critical to building investor confidence and ensuring a successful IPO. Clear financial disclosures will also enhance credibility with stakeholders.

- Developing local sourcing partnerships and negotiating bulk discounts will help stabilize costs and reduce supply chain risks, making Infinity less vulnerable to geopolitical and market fluctuations.

- Transitioning to LNG, biofuels, and solar-assisted systems will reduce reliance on natural gas, lower energy costs, and enhance sustainability, aligning with global ESG trends.

- Implementing AI-driven production optimization and process automation will reduce labor costs, improve efficiency, and maintain product quality, ensuring long-term competitiveness.

- Strengthening online sales channels, digital marketing, and global marketplace collaborations will help Infinity capture direct consumer demand, expand market reach, and reduce reliance on traditional retail.

1.3. NPV analysis, suggestion to board and comment on compatibility with mission & vision:

Infinity Ceramics must choose between a TSL joint venture (BDT 3.57M NPV) for higher shortterm gains and global market access or a tiles factory (BDT 2.44M NPV) for long-term brand control in Bangladesh's booming construction sector. While the TSL partnership reduces market entry risks, it limits brand ownership due to licensing fees. In contrast, tiles have strong local demand and align with Bangladesh's 12–15% annual ceramics industry growth but require higher upfront investment.

Financially, the TSL joint venture is more attractive, especially as sanitaryware imports dominate over 50% of the market. However, tiles offer long-term stability, lower import reliance, and government incentives. The board must balance short-term profits with strategic brand positioning, ensuring the investment strengthens Infinity's role in Bangladesh's evolving ceramics market.

Recommendation to the board includes:

- Prioritize the TSL joint venture as it offers a higher NPV (BDT 3.57M) than the tiles factory (BDT 2.44M), ensuring stronger short-term financial returns and export market entry.
- Negotiate licensing and technical fees with TSL to reduce long-term costs and explore opportunities for Infinity to eventually establish its own sanitaryware brand.
- Conduct a market study on sanitaryware exports to assess Infinity's competitiveness in international markets and validate long-term demand before finalizing the joint venture.
- Plan for future expansion into tiles even if the TSL partnership is selected, ensuring Infinity maintains brand independence and capitalizes on Bangladesh's growing real estate market.

1.4. Evaluation of viability of sale & lease back of land as financing option:

Selling and leasing back the land provides BDT 150 million upfront cash and a net present cash flow of BDT 57.8 million, covering most of the BDT 155 million needed for the TSL joint venture with minimal debt. However, uncertain lease renewal after 10 years poses a risk, requiring favorable lease terms to prevent future rent hikes or relocation costs. Additionally, with Bangladesh's land prices rising 8-10% annually, the board should assess whether selling now is the best long-term move. To ensure financial stability, Infinity should secure low-cost financing for the remaining BDT 5 million and monitor borrowing conditions to confirm that leaseback remains cost-effective. Any surplus funds should be reinvested into digital expansion, automation, and branding to strengthen Infinity's long-term market position. Balancing liquidity with future growth will be key to maximizing this transaction's benefits.

Recommendation to the board:

- Proceed with the sale and leaseback to secure BDT 150 million upfront cash and a net present cash flow of BDT 57.8 million, ensuring most of the TSL joint venture funding is covered.
- Negotiate flexible lease renewal terms to prevent future rent hikes or relocation costs, as the 10year renewal remains uncertain.

- ✦ Assess future land appreciation trends, given Bangladesh's 8-10% annual real estate growth, to determine whether selling now is the best long-term financial decision.

- ✦ Reinvest surplus funds into digital expansion, automation, and branding to enhance Infinity's market competitiveness beyond the TSL venture.

1.5. Expected share premium in IPO and number of new shares to be issued:

Infinity is well-positioned to secure BSEC approval for a 400% share premium, as BSEC is likely to accept maximum share price of BDT 72 which exceeds the proposed IPO price of BDT 50 per share. The IPO will raise BDT 203 million, covering Infinity's investment needs for the TSL joint venture, while ensuring that existing shareholders retain an 85.23% stake. However, approval depends on whether pre-adjusted or post-adjusted profit is considered. If BSEC rejects the premium due to adjusted losses, Infinity may need to issue shares at face value (BDT 10 per share), significantly reducing IPO proceeds.

Recommendation to the board:

- ✦ Proceed with the IPO at a 400% share premium, as BSEC approval is likely given the expected share price of BDT 72 per share, supporting the proposed BDT 50 per share IPO price.

- ✦ Prepare contingency plans in case BSEC rejects the premium, by exploring alternative funding options such as strategic partnerships or bank financing to ensure the TSL joint venture is not delayed.

- ✦ Strengthen financial reporting and governance to improve earnings visibility and reduce concerns over adjusted losses, increasing investor confidence and IPO approval likelihood.

- ✦ Develop a post-IPO growth strategy to enhance earnings, market valuation, and long-term investor confidence, ensuring Infinity's sustainable expansion and market positioning.

1.6. Determining best of financing option:

Infinity is currently considering financing investment projects by sale and leaseback of a land or through issuing shares through IPO. The Sale and Leaseback Option provides immediate capital but comes at the cost of losing ownership of a valuable asset, reducing Infinity's strategic flexibility. Additionally, lease renewal uncertainty after 10 years poses financial risks, especially if rental costs rise. Any funding shortfall will need to be covered by bank loans, which could limit future borrowing capacity. Furthermore, selling the land now may result in a long-term opportunity cost if real estate values appreciate. On the other hand, IPO Financing introduces regulatory complexities, requiring strict compliance with BSEC governance rules, independent directors, and financial disclosures. While raising capital through an IPO reduces reliance on debt, it dilutes existing shareholders' control and imposes long-term investor relations commitments. Furthermore, post-IPO restrictions on debt financing for five years may limit financial flexibility, making future expansions or investments more challenging.

Recommendation to the board:

- ✦ Board should decide on which financing method it should select between 'Sale & leaseback of land' or 'Issue new shares with IPO'.

- ✦ If 'sale & leaseback' is considered, negotiate flexible lease terms to ensure renewal clauses are favourable and prevent excessive rent increases after 10 years to avoid future financial strain.

- ✦ Before executing sale of the asset, perform a market evaluation to determine if selling the land now is optimal, considering potential appreciation in real estate prices.

- ✦ In financing through IPO is selected, carefully assess investor sentiment and market conditions before launching the IPO to maximize valuation and ensure successful capital raising.

- ✦ While issuing share, board should focus on managing ownership dilution by limiting the percentage of shares issued ensuring existing shareholders' influence is not significantly reduced.

1.7. Ethical issues involving Infinity's existing and planned business:

Infinity Ceramics Limited faces significant ethical and operational challenges that could impact its long-term sustainability and reputation. Unresolved wage disputes and unsafe working conditions suggest potential violations of fair labour practices, while supplier favouritism and lack of transparency raise concerns over accountability. The company's reliance on unregulated raw material extraction and fossil fuels further exacerbates environmental and social risks, including land degradation and displacement of indigenous communities. Additionally, financial mismanagement—such as misleading land revaluation, undisclosed liabilities, and dependence on politically exposed clients—poses serious threats to investor confidence and business stability. Addressing these issues through ethical reforms, financial transparency, and stronger corporate governance is crucial for the company's sustainable growth and market credibility.

Recommendation to the board

- ✦ Ensure fair wage increases and workplace safety with stricter protocols and third-party audits.

- ✦ Add independent board members and change external auditors to improve financial oversight.

- ✦ Implement a transparent process to avoid favouritism and regularly review supplier compliance.
- ✦ Diversify customers to avoid political risks and strengthen contracts to prevent export penalties.

1.8. Assessment of sustainability factors of Infinity's business:

Infinity Ceramics faces sustainability challenges in labor rights, environmental responsibility, financial stability, and governance. Wage disputes, gender inequality, and supplier favoritism raise ethical concerns, while unregulated mining has displaced communities in Mymensingh and

Netrokona. Financial risks persist due to dependence on politically exposed clients and declining exports with no diversification strategy. Environmentally, heavy fossil fuel use, unchecked pollution, and poor waste management threaten long-term viability. While some sustainability efforts exist, such as wastewater recycling and sustainable packaging, they need greater investment in cleaner production technologies for lasting impact.

Recommendation to the board

- Finalize fair wage increments and improve workplace safety by enforcing PPE use and conducting third-party audits.
- Avoid misleading land revaluations, disclose all financial risks, and appoint independent board members for better oversight.
- Diversify the customer base by entering new markets and reducing reliance on politically exposed clients.
- Adopt cleaner production technologies, improve waste management, and implement a transparent supplier selection process.

2. Adjustment schedule and performance evaluation of adjusted financials. (Requirement-a-1)

2.1. Schedule of adjustments required for current reporting and compliance issues.

Receivables from customers:

Elegant Hospitality Limited is unable to make payments to Infinity due to frozen bank accounts and unavailability of the owners. This indicates that the receivables have become uncollectable. Therefore, Infinity should recognize the bad debt expense. However, due to past good relationships, Infinity may not write off the receivables but keep an allowance for probable recovery in the future.

To recognize the bad debt allowance and adjust the financial statements, following entry will be required:

Bad debt expense	Dr.	1,300,000	
Allowance for bad debt	Cr.		1,300,000

Revaluation of Land & building:

Infinity owns a land which had a cost of BDT 4,000,000 was revalued to BDT 20,000,000 in 2012. Since than no revaluation was done. Revaluation surplus of BDT 16,000,000 was recognized in retained earnings. In 2024, the land was further revalued to BDT 100,000,000. Therefore, current year revaluation gain is BDT 80,000,000 which has been recognized in other income.
However, the revaluation gain should be recognized in other comprehensive income and reported in Revaluation surplus. Therefore, following entry should be made.

Other income	Dr.	80,000,000	
Revaluation Surplus	Cr.		80,000,000

Furthermore, past revaluation gain should also be transferred to Revaluation surplus by restating the financial position if it is material. Restatement entry should be:

Retained Earnings	Dr.	16,000,000	
Revaluation Surplus	Cr.		16,000,000

Labor wages:

Infinity approved 5% annual salary increment which increased salary cost to BDT 1,100,000. So net increase per month is (1,100,000 x 5/105) = BDT 52,380. However, workers rejected the increment and requested for 10% which was still under discussion. As 5% increment is already approved and communicated, Infinity should create a liability/provision for 52,380 x 12 = BDT 628,560 through following entry:

Salary & wages expenses	Dr.	628,560	
Provision for Salary & wages	Cr.		628,560

Gratuity obligation has been incorrectly reported as part of short-term obligation instead of a noncurrent obligation. However, exact amount was not provided. Therefore, it is considered as immaterial. While creating gratuity provision, salary increment has not been considered. Generally, gratuity obligations accruals are equal to one-month basic salary which is 60% of gross salary. So incremental gratuity obligation would be 52,380 x 60% = BDT 31,428 and following entry need to be posted:

Gratuity Expenses	Dr.	31,428	
Short term borrowings	Cr.		31,428

Investment in Shares:

Infinity acquires 125,000 shares of Red Plum Limited at BDT 574 per share and incurred transaction cost of BDT 275,600 which has been capitalized. This investment was for trading purpose. As the investment was trading purpose, transaction cost cannot be capitalized and charged as expenses. Therefore, following entry is needed

Transaction expense	Dr.	275,600	
Investment	Cr.		275,600

Share price was reduced to BDT 553 per share at the year end and infinity experienced fair value decrease by (574-553) x 125,000 = 2,625,000. Therefore, following entry is needed to adjust the fair value decrease.

Loss on fair value of shares	Dr.	2,625,000	
Investment	Cr.		2,625,000

Lawsuit for compensation:

During a fire incident two worker died and family of deceased worker have filed lawsuit claiming a compensation of BDT 5,000,000. However, infinity approved BDT 1,000,000 per worker which was not considered while preparing the financial statements. Therefore, provision of BDT 2,000,000 should be recognized through following entry.

Worker compensation expense	Dr.	2,000,000	
Provision for compensation	Cr.		2,000,000

Infinity should report BDT 3,000,000 as contingent liability related to provision if the outcome is uncertain. However, if the amount become more than probable, infinity should also recognize the amount as part of provision.

Inventory Valuation and penalty:

Inventory prepared customized inventory of BDT 1,150,000 but couldn't deliver to client. As a result, customer charged penalty of BDT 2,000,000. As the inventory is customized it might not be sellable. Therefore, it should be written off. Infinity should post following entries:

Cost of sales	Dr.	1,150,000	
Penalty expenses	Dr.	2,000,000	
Inventory	Cr.		1,150,000
Penalty payable	Cr.		2,000,000

2.2. Evaluation of financial statements after adjustment

Infinity's financial statement has been adjusted in Appendix-1 with the accounting adjustments mentioned above. Analysis has been performed on the adjusted financial statements.

Revenue:

In 2024, Infinity experienced massive decline in revenue. Revenue for the year is BDT 392,264,452 which has decreased by BDT 186,376,809 which is 32.21% from prior year reported revenue of BDT 578,641,261. This sharp decline is due to prevalent gas shortage in the industry, political unrest and disruption in supply chain which significantly impacted the ceramics manufacturing and sales.

Due to political unrest and labour blockade, infinity couldn't fulfil export shipment on scheduled time which eventually led to 14% decrease in export revenue. During the year, Infinity achieved export revenue of BDT 81,738,815 which was BDT 95,007,308 in earlier year. Furthermore, changes of taste of European countries have also contributed in decrease in export revenue.

Local sales were also slashed during the year and were reduced by 35% to BDT 310,525,638 from prior year revenue of BDT 483,633,954. This is massive decrease is due to reduced manufacturing of goods as well as intense competition in local market leading to reduction in sales price and decrease in revenue.

Historically, local sales were major contributors to sales revenue. In 2023, local sales represented nearly 84% of the sales where export sales were only 16%. However, due to massive decline in local sales, local sales contribution has decreased to around 79% which in turn increased export sales contribution to 21%.

Cost of Revenue:

Infinity reported cost of revenue for BDT 333,769,424 in 2024. After adjusting for obsolete bespoke inventory of BDT 1,150,000 cost of revenue is derived at BDT 334,919,424 which has significantly decreased by BDT 129,747,577 from prior year cost of revenue of BDT 464,667,001. This decrease in cost of revenue is around 28% which is in line with decrease in revenue. As manufacturing has decreased and inventory remains unsold, cost of revenue has decreased.

Following the declining trend in local sales, cost of revenue for local sales also dropped during the year. Current year cost of revenue is BDT 270,353,233 which decreased by 28.61% (BDT 108,350,373) from prior year cost of local revenue BDT 378,703,606. However, cost of local sales consistently remained above 80% of and the major contributor in cost of sales.

Cost of export sales also declined following the declining trend. However, in contrast to 14% decline in export revenue, cost of export revenue declined approximately by 25% which is somewhat unusual. This could be potential accounting error in costing. Cost of export revenue is now contributing 19.28% of total cost of sales in contrast to 18.5% in that of prior year.

GP and GP Margin:

Infinity adjusted gross profit for the year has been derived at BDT 57,345,028 which has reduced by nearly half (BDT 56,629,232) from prior year gross profit of BDT 113,974,260. This sharp fall was due to decline in revenue loss for the year. Gross profit from local sales dropped sharply to BDT 40,172,405 from that of prior year BDT 104,930,348. However, it still remains major contributor to the revenue (70% in current year in comparison to 92% from prior year). In contrary to GP from local sales, GP from export sales has increased during the year BDT 17,172,624 from that of BDT 9,043,913 in prior year. Export sales contributed around 30% in the current year in compared to 8% in prior year. This shows that export sales are very profitable for Infinity.

Although margin was expected to be consistent, Infinity's current year GP margin has dropped to 14.6% from that of 19.7% in prior year. This is mostly due to increase in cost of revenue due to increase in material and gas cost which has increased sharply during the year following political unrest and poor gas supply.

Net Profit Margin

Infinity reported net income of BDT 70,189,041 however, after making necessary correcting adjustments reported expenses increased by 90,010,588 turning the net profit into net loss of BDT 19,821,547. Post adjusted profitability experienced a massive decline in net profit by BDT 44,733,664 which is 179.57% lower from prior year net profit of BDT 24,912,117. This significant decline is profitability is due to massive decline in revenue and correction of expense recognition. As Infinity incorrectly recognized revelation gain as other income, initial reported revenue was high. As it was taken out through correction, reported net profit was declined.

Infinity net profit margin for the year is only -5% due to increase in cost and effect of accounting adjustments. Net profit margin was 4% in prior year. Although profit margin was already lower, this year margin percentage dropped significantly by 9% (e.g. 4% to -5%). One of the key reasons for this decline is increase of tax expenses which increased by 51% from prior year. This tax expenses might the result of minimum taxation in Bangladesh which need to be paid by an entity despite current year loss or set off past losses.

Current and Quick Ratio

Financial analysis shows that Infinity's current ration for the year 2024 is 1.16 which was 1.12 in prior year. This shows that there is slight increase in the ratio but no major change in the current ratio. Current ratio shows the liquidity strength of the company to meet the current obligation with current assets. Current ratio is 1 in both years which indicates that Infinity has been matching its current liabilities with its current assets. This also means the working capital is near to zero and Infinity has not invested much in the working capital. Due to lack of working capital, Infinity may face sudden liquidity crisis and face the risk of liquidation. It would be ideal if Infinity could invest more in the working capital and upgrade the ratio to 2:1.

Quick ratio indicates ability of an entity to repay or meet the current obligation with current assets which can be liquidated on quickest time. It appears that all current assets excluding inventories are likely to be converted to cash on earliest possible time. From analysis of Infinity's financial statements, quick ratio for the year 2024 is 1.21 whereas it was 1.08 in the previous year. This means quick ratio has improved much compared to the quick ratio of 2023. Quick ratio has increased due to significant increase in cash position of the company due to new long-term loan. Increase in quick ratio means that Infinity's ability to pay off its current liabilities with its available cash has improved earlier.

Debt to Equity and TIE Ratio

Debt to equity ratio shows how much debt an entity has compared to its assets. Analysis of Infinity's adjusted financial statement shows that it has debt to equity ratio is 1.81 in 2024 which has decreased a lot from 2.48 in prior year. Analysis shows a decreasing trend in debt in capital structure as Infinity is reducing its debt position. However, Infinity is still a highly geared entity where more than 64% of its capital is financed by debt. In earlier year debt represented around 71% in the capital structure. This has showing that Infinity has improved debt position due to significant revaluation surplus arising from land revaluation. Because of the land revaluation, revaluation surplus was recognized, and equity was increased leading to decreased debt to equity ratio. Debt to equity has not changed much. Rather it increased a bit due to new long-term loan.

As long-term loan increased and debt amount remains almost constant whereas profitability decreased significantly, it took a hit in the Times interest earned (TIE) ratio. TIE ratio is a solvency ratio indicating the ability to pay all interest on business debt obligations. Infinity's TIE Ratio has decrease significantly to 1.15 in current year from prior year TIE ratio of 2.11. TIE ratio was already too low but in the current year it has worsen. Infinity's ability to generate profit compared to finance cost has decreased significantly during the year. This is due to massive decline in revenue which impacting profit. On the other hand, long term loan has increased causing to increase interest expenses. Due to these factors, cost to debt servicing increased and TIE ratio has decreased. Low TIE ratio indicates that Infinity has the ability to service its debts but is virtually no remanent of profit after debt servicing. This clearly shows Infinity's very weak financial position and performance.

Asset Turnover and Return on Assets

Asset turnover ratio shows an entity's efficiency of generating revenue utilizing its assets. For Infinity, Asset turnover ratio in 2024 is only 0.29 which decreased a lot from 0.49 in the previous year. This shows that Infinity is not much efficient in asset utilization and revenue generation as evident from revenue loss during the year. At present, Infinity can generate only around 30% of its total assets.

Return on Asset in 2024 is -1.46% due to net loss in current year. Return on Asset was 2.11% in the prior year. This is in line with the industry down trend which is suffering from gas shortages and instability due to political change, labour unrest and unfavourable economic conditions. Despite low the return on asset, competition in local market remains intense. Infinity may focus on export sales which has much higher profit margin to increase the return on assets.

Return on Equity

Historically Infinity has been experiencing significant return on equity. In 2023, marvel had brilliant return on equity of 168.74% which decreased to 81.20% in the current year due to massive decline in revenue. However, current year return on equity is still very impressive considering the unsettling industry condition. This shows that Infinity has perform brilliantly by increasing and generating a handsome return for the shareholders. Furthermore, it shows Infinity's efficiency in financial management and maximizing shareholders wealth.

2.3. Evaluation of non-financial performance

Infinity Ceramics Limited has built a strong reputation in the ceramics industry but faces significant challenges in operational efficiency, sustainability, labour relations, governance, and market positioning. The following evaluation incorporates various insights from the document, including industry trends, company reports, and news articles.

Operational Efficiency

Infinity Ceramics is strategically located in production facility in Gazipur to facilitate distribution which combines advanced technology with traditional craftsmanship, ensuring high product quality. However, its operations have been severely impacted by political instability, labour unrest, and gas shortages, as highlighted in the news. Additionally, the company's heavy reliance on imported raw materials has raised production costs and squeezed profitability.

Environmental Sustainability

Infinity has made efforts to implement eco-friendly production methods, including energy-efficient firing, water recycling, and sustainable packaging. The company has also invested in wastewater treatment and water conservation technologies, reflecting its commitment to sustainability. However, there are still concerns about high carbon emissions, excessive resource mining, and hazardous waste disposal, which are industry-wide issues.

Employee & Labor Relations

Infinity employs 1,750 workers and has invested heavily in skills training, offering over 10,000 hours of development programs. Workplace safety has improved, with reported accidents dropping from 1,444 in 2022 to 384 in 2024. Despite these positive efforts, labour relations remain strained. A Daily Dhaka Tribune report (04 September 2024) detailed worker protests at Infinity's Gazipur factory, where employees demanded higher wages, better job security, and removal of foreign workers in

management roles. Additionally, a planned salary increment was delayed which further fuelling dissatisfaction.

Market Positioning & Brand Strength

Infinity Ceramics is a well-established brand with 10 retail outlets across Bangladesh and a strong export market presence. However, the company faced supply chain disruptions due to student unrest and political blockades, leading to missed export deadlines and penalty from a foreign buyer. Furthermore, increased domestic market competition has intensified price pressure which leads to oversupply of ceramics and declining profitability in the industry.

Corporate Governance & Compliance

Infinity follows IFRS standards and undergoes external audits, ensuring transparency. However, its auditors have issued qualified opinions for multiple years due to land revaluation issues, as Infinity failed to update its land valuation since 2012. In addition, Infinity is financially exposed to Elegant Hospitality Limited, a politically connected company whose bank accounts were frozen, leaving an unpaid debt of BDT 1.3 million. This highlights political and financial risks in customer relationships.

Corporate Social Responsibility (CSR) & Community Impact

Infinity actively engages in education sponsorships, healthcare initiatives, and environmental programs, contributing to social development. The company's corporate social responsibility (CSR) efforts include scholarships, skill development programs, and community health campaigns.

2.4. Conclusion

- Infinity experienced a significant decline in revenue (32.21%) due to industry-wide gas shortages, political unrest, and intense local market competition. This resulted in a sharp drop in gross profit and an overall net loss of BDT 19.8 million. The company's profitability has been severely impacted, with net profit margin falling from 4% to -5%.

- The cost of revenue decreased in line with lower sales, but rising material and gas costs further squeezed profit margins. The sharp drop in gross profit margin (from 19.7% to 14.6%) indicates increasing cost pressures, which impacting Infinity's competitiveness.

- The current ratio (1.16) and quick ratio (1.21) indicate slightly improved liquidity, but working capital remains near zero, exposing Infinity to potential short-term liquidity crises.
- While the debt-to-equity ratio improved from 2.48 to 1.81 due to land revaluation, Infinity remains highly leveraged, with over 64% of its capital financed by debt. A declining TIE ratio (1.15) suggests difficulty in covering interest expenses, raising concerns about long-term financial sustainability.

- The asset turnover ratio (0.29) and return on assets (-1.46%) indicate inefficiency in asset utilization and revenue generation. However, export sales showed higher profitability and increased contribution, suggesting a potential area for future growth.

- Despite the decline in profitability, return on equity (81.2%) remains strong, demonstrating Infinity's efficiency in generating returns for shareholders. However, sustaining this performance is challenging given the current financial constraints.

- Political instability, supply chain disruptions, and gas shortages have heavily impacted Infinity's operations, leading to production inefficiencies and missed export deadlines.

- Infinity has implemented eco-friendly initiatives, such as water recycling and energy-efficient firing, but still faces challenges related to high carbon emissions and hazardous waste disposal.

- Despite improvements in workplace safety and skills development, labour unrest remains a major issue. Employee dissatisfaction over delayed wage increases and foreign management positions has led to protests, indicating the need for better labour relations.

- While Infinity maintains a strong domestic and international presence, supply chain disruptions and increasing local competition threaten its market position. A focus on high-margin export sales is showing signs to improve profitability.

- audit opinions due to outdated land valuations and financial exposure to politically connected entities highlight governance risks. Strengthening financial transparency and compliance is necessary for maintaining investor confidence.

- Infinity has excelled in customer satisfaction, employee training, and corporate social responsibility. Its innovative service offerings, community outreach programs, and environmental sustainability initiatives contribute to its strong brand identity. Furthermore, its digital presence and plans for geographic expansion indicate a forward-thinking approach to business growth.

2.5. Recommendation

- To mitigate the impact of political instability and supply chain disruptions, Infinity should explore alternative export markets, particularly in regions with stable demand. Strengthening domestic sales through targeted marketing and product differentiation can also help recover lost revenue.

- Implementing stricter cost controls, optimizing raw material procurement, and negotiating better supplier contracts can help manage rising costs, especially in materials and gas expenses.

- Given the higher profitability of export sales, Infinity should prioritize international markets while also focusing on premium product offerings that command better pricing.

- With a low working capital buffer, Infinity should secure short-term financing or improve cash flow efficiency to avoid liquidity crises. Strengthening accounts receivable collections can help enhance cash availability.

- Updating land valuations regularly and addressing auditors' concerns will improve credibility with investors and financial institutions. Strengthening compliance with accounting standards will also enhance investor confidence.

- Infinity must address employee dissatisfaction by improving communication, ensuring timely wage increments, and enhancing job security to prevent future labour unrest.

- Diversifying suppliers and improving logistics planning will help mitigate the impact of political instability and transportation disruptions. Developing contingency plans for export logistics is crucial.

- Reducing financial exposure to politically connected entities and improving internal controls can minimize governance risks. Transparency in financial dealings is essential for maintaining trust.

- Enhancing brand differentiation through digital marketing, product innovation, and customer engagement can help Infinity withstand increasing competition in the domestic market.

3. Evaluate of the Strengths, Weaknesses, Opportunities, and Threats (SWOT) of Infinity's existing business (Requirement a-ii):

3.1. SWOT Analysis:

Strengths

- ***Strong Brand & Market Presence***
  Infinity Ceramics is a well-known name in Bangladesh's ceramics industry, with over 30 years of operational history. This brand reputation provides a competitive edge in local and international markets. The company serves both B2B (hospitality, restaurants) and B2C (households) segments, ensuring diversified revenue streams.

- ***Diverse Product Portfolio***
  Infinity offers porcelain, bone china, and hospitality ware. While tableware remains its core product, its ability to cater to both functional and premium customer preferences strengthens its market position. Diversification reduces dependency on any single market segment.

- ***Strategic Location*** Infinity's production facility in Gazipur provides logistical advantages. The region has access to skilled labour, major highways, and export facilities. This strategic positioning reduces transportation costs and ensures smooth distribution.

- ***Export Potential***
  Exports constitute 20% of revenue, with major markets including the USA, UK, Germany, and Canada. Despite recent declines in exports due to shifting consumer behaviour, Bangladesh's ceramics exports have been growing at an annual rate of 20% over the last decade (BCMEA). The global ceramics industry is valued at $5.7 trillion, indicating strong future growth prospects if Infinity expands its global footprint.

- ***Innovative Design & Craftsmanship***

Infinity's reputation is built on blending traditional artisanship with modern aesthetics. This unique approach differentiates its products from mass-market competitors, allowing it to target high-end consumers and B2B clients.

- ***Vertical Integration***
  Infinity controls key parts of its supply chain, including raw material sourcing, production, quality control, and distribution. This vertical integration improves cost efficiency and ensures better quality control compared to companies relying on third-party suppliers.

- ***Financial Growth***
  Although revenue declined from BDT 578 million (FY23) to BDT 392 million (FY24), net profit increased significantly due to cost optimization and other income sources. Equity also increased from BDT 342 million to BDT 413 million, indicating financial stability despite revenue fluctuations.

- ***Commitment to Sustainability***
  Infinity has adopted energy-efficient kilns, waste recycling initiatives, and water conservation programs, reducing its environmental footprint. Such efforts align with global ESG (Environmental, Social, and Governance) trends, making the company attractive to sustainability-conscious investors and customers.

Weaknesses

- ***High Dependency on Imports***
  Infinity imports most of its raw materials (clay, feldspar, quartz) from China, making it vulnerable to global price fluctuations and supply chain disruptions. The industry's reliance on imports increases production costs by 20-30% (BCMEA report).

- ***Declining Revenue & Market Shift***
  Infinity's revenue dropped by 32% in FY24, partly due to reduced exports. Changing consumer behaviour—where more people dine out instead of using home tableware—has affected Infinity's primary market. Without strategic adjustments, this trend could continue impacting sales.

- ***Gas Dependency***
  Bangladesh's ceramic industry relies heavily on natural gas, and Infinity is no exception. Recent gas shortages have severely impacted production, increasing costs and reducing operational efficiency. Industry reports indicate that ceramic producers have faced a 20-30% increase in costs due to energy constraints.

- ***Labor Unrest & Wage Issues***
  Infinity's workers recently protested for wage hikes, citing inflation concerns. The company's planned 5% wage increase was rejected by workers, who demanded at least 10%. Labor unrest affects productivity, company reputation, and operational stability.

- ***Weak Financial Reporting***

Infinity's financial reporting is weak as evident by lots of post year-end financial adjustments and incorrect land evaluation. Its land was last revalued in 2012 at BDT 20 million, and it was revalued again in FY24 at BDT 100 million. The revaluation was recognized in "Other Income," which could be misleading in financial statements. The weakness in financial reporting potentially affecting investor confidence.

- ***High Cost of Financing***
  Infinity has a significant debt burden, with finance costs rising to BDT 55 million in FY24. This reduces net profitability and financial flexibility, making future expansion projects riskier.

- ***Limited Digital & E-Commerce Presence***
  Despite the global shift toward online retail, Infinity has not significantly developed its ecommerce capabilities. Expanding digital sales channels could open new revenue streams, particularly in international markets.

Opportunities

- ***Sanitaryware & Tiles Expansion***
  Bangladesh's demand for sanitaryware and tiles is increasing. Domestic sanitaryware imports were valued at BDT 156 crore last year, highlighting an opportunity for local production. The market is expected to reach $12 million in exports within five years. Infinity's plan to enter this sector through a joint venture or new setup aligns well with market trends.

- ***IPO & Fundraising***
  Infinity's plan to raise funds via IPO can provide much-needed capital for expansion while reducing reliance on debt. However, achieving the desired 400% share premium depends on regulatory approval and investor sentiment.

- ***Technology & Automation***
  By investing in advanced production techniques, Infinity can reduce reliance on manual labour, increase efficiency, and maintain consistent product quality. Automation can also help address labour cost concerns.

- ***Rising Global Demand for Affordable Ceramics***
  Bangladesh's ceramics industry has a competitive advantage due to lower labour costs compared to China and Italy. Global buyers are seeking alternatives, making Bangladesh a strong candidate for increased exports.

- ***Government Support***
  The government offers a 10% export rebate and duty-free raw material imports to boost the ceramics sector. Such incentives make expansion more financially viable for Infinity.

- ***Growing Construction Sector***
  Urbanization and real estate development are driving domestic demand for ceramic tiles and sanitaryware. Infinity can capitalize on this by expanding into construction-related ceramics.

Threats

- ***Economic Downturn & Inflation***
  The Bangladesh economy has been impacted by rising inflation and currency depreciation. Production costs have surged due to the dollar crisis, making it harder to maintain profitability.

- ***Intense Competition***
  Infinity faces strong competition from both local players (e.g., RAK Ceramics, Shinepukur Ceramics) and international brands. Competitors with larger production capacities and lower costs pose a serious challenge.

- ***Regulatory & Compliance Risks***
  Infinity's IPO plan requires compliance with BSEC regulations, corporate governance rules, and financial disclosures. Non-compliance can delay fundraising efforts.

- ***Political & Labor Unrest***
  Ongoing political instability and labour protests create uncertainty. Factory shutdowns due to unrest can disrupt supply chains and production schedules.

- ***Consumer Preference Shift***
  As more people dine out and order takeout, the demand for household tableware may continue to decline. Infinity must innovate or diversify to adapt to these market changes.

- ***Export Uncertainties***
  Infinity's reliance on exports makes it vulnerable to global trade restrictions, currency fluctuations, and economic downturns in key markets like the US and Europe.

3.2. Conclusion:

- Reliance on imported raw materials increases production costs and exposes Infinity to global supply chain disruptions, impacting profitability and operational efficiency.

- Gas shortages and energy dependency create uncertainty in production, leading to higher costs and potential delays in meeting market demand.

- Frequent labor unrest and wage disputes disrupt factory operations and affect workforce morale, posing risks to long-term productivity and brand reputation.

- Infinity's strong brand and premium product positioning provide a competitive edge, but a lack of affordable product lines may limit penetration in middle-income customer segments.

- Declining export sales and shifting consumer behavior toward dining out pose risks to tableware demand, requiring diversification into new product categories like tiles and sanitaryware.

- Infinity's financial reporting weaknesses and audit qualifications could deter potential investors, making it harder to raise funds through an IPO or secure favorable financing terms.

- Intense competition from both local and international players puts pressure on pricing and profitability, requiring Infinity to differentiate through innovation and cost efficiency.

- Government incentives and export rebates present an opportunity for growth, but regulatory hurdles and compliance requirements must be carefully managed.

- Growing demand for sustainable and ethically sourced products aligns with Infinity's ESG initiatives, offering a chance to enhance brand value and attract environmentally conscious customers.

- Expanding digital and e-commerce presence could unlock new revenue streams, but Infinity's current online presence remains underdeveloped compared to global trends.

3.3. Recommendation:

- Invest in sanitaryware and tiles production to diversify revenue streams and reduce reliance on tableware, capitalizing on the growing domestic and export market demand. A joint venture with an international partner can provide technology and market access advantages.

- Strengthen Financial Reporting & Governance by improving internal controls and implementing transparent and IFRS-compliant financial reporting process to enhance investor confidence ahead of the IPO.

- Minimize dependency on imported raw materials by developing local sourcing partnerships, negotiating bulk discounts, and exploring alternative suppliers to stabilize costs and mitigate geopolitical risks.

- Invest in energy-efficient kilns, alternative fuels (LNG, biofuels), and solar-assisted systems to reduce reliance on natural gas and control rising energy costs.

- Proactively address wage disputes by implementing industry-aligned compensation policies, structured labour agreements, to prevent disruptions and improve workforce morale.

- Enhance brand visibility through targeted digital marketing and collaborations with global marketplaces to strengthen online sales and capture direct consumer demand.

- Invest in automation, AI-driven production optimization, and lean manufacturing to reduce operational inefficiencies, control labour costs, and maintain product quality.

- Strengthen product design capabilities, R&D, and premium brand positioning to compete against local and international players. Introduce limited-edition collections and sustainable ceramics to cater to high-end and environmentally conscious consumers.

- ✦ Respond to shifts in consumer behaviour by diversifying into fast-growing segments like customized and hospitality ceramics, which cater to the growing restaurant and hotel industries.

- ✦ Establish strong corporate governance, independent board oversight, and compliance teams. Infinity should also introduce policies for enhanced financial disclosures and risk management.

4. NPV analysis of the investment options, recommendation with justification and comment on compatibility with vision and mission (Requirement B-i):

Board is currently considering two investment options which are mutually exclusive. First option is to joint venture with "Thai Sanitaryware Limited (TSL)". Second option is to set up a tiles factory. Options are mutually exclusive, and the board of directors plans to decide based on the NPV of the options and compatibility of Infinity's mission & vision. To perform NPV analysis, the board prefers the discount rate to be determined through CAPM formula where CAPM rate = Risk free rate + market beta (Market rate – Risk Free rate). Infinity management has considered coupon rate of 10-year government bond as risk free rate.

According to the provided information, Risk Free rate is 12%; Market Return 14%, and market beta is 1.5. Therefore, the CAPM rate = 12% + 1.5(14%-12%) = 12% + (1.5x2%) = 12% + 3% = 15% which will be used as discount rate in NPV analysis.

4.1. NPV Analysis of "JV with TSL":

Infinity has been trying to diversify its business. Consequently, it received a joint venture offer from TSL to set up a sanitaryware to produce TSL branded sanitaryware including Washbasin, Toilet Seat, Water Closet, Wall Hung Toilet and Pedestal Washbasin. TSL will provide necessary assistance and technology in the production in exchange of 2% technical knowhow fee and 4% licensing fee. After 5th year of commercial operation, cash flows are expected to grow at 3% perpetually. The Infinity's marketing team and finance team determined following cash flow based on provided data and market research:

	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6
Investment	(50,000,000)	(100,000,000)	-	-	-	-	
Sales			160,000,000	200,000,000	235,000,000	300,000,000	375,000,000
Cost of revenue			(112,000,000)	(140,000,000)	(164,500,000)	(210,000,000)	(262,500,000)
Royalty			(12,000,000)	(12,000,000)	(14,100,000)	(18,000,000)	(22,500,000)
Admin expenses	(2,000,000)	(3,000,000)	(30,000,000)	(36,000,000)	(43,200,000)	(51,840,000)	(62,208,000)
Gross Cash flow	**(52,000,000)**	**(103,000,000)**	**6,000,000**	**12,000,000**	**13,200,000**	**20,160,000**	**27,792,000**
Terminal value*							**238,548,000**

Total cash flow	**(52,000,000)**	**(103,000,000)**	**6,000,000**	**12,000,000**	**13,200,000**	**20,160,000**	**266,340,000**
PVIF	1	0.8696	0.7561	0.6575	0.5718	0.4972	0.4323
Present Value	(52,000,000)	(89,568,800)	4,536,600	7,890,000	7,547,760	10,023,552	115,138,782
NPV				**3,567,894**			

* Terminal value = Cash flow @ Y7/(d-g) where d is discount rate of 15% & g is growth rate of 3%.
= (27,792,000 x 1.03)/ (15%-3%)
= 238,548,000

Based on the calculation, it is expected that setting up sanitaryware in joint venture with TSL will generate NPV of BDT 3,567,894. As NPV of the option is positive, Infinity may accept the Joint venture proposal from TSL CEO.

4.2. NPV Analysis of "Tiles Factory":

Second option at the hand of Infinity board is to set up a 'Tiles Factory' to meet the increased demand in domestic market. It is planning to offer both high-end tiles like nano crystal Polish, Matt, Premium Glazed Porcelain and low-end tiles like Glossy Wall and Décor. Infinity estimates that cost of setting up the Tiles Factory with would be BDT 170,000,000. In addition, BDT 30,000,000 will be required for working capital.

It is estimated that factory will be ready within a year and commercial operating can be started after 1 year. Annual revenue of 5 year from commercial operation is expected to be 135 million, 155 million, 175 million, 180 million and 189 million respectively. Cost of revenue is forecasted to remain stable at 65% of revenue. Admin, selling and distribution expense is expected to be BDT 3,000,000 during construction period, BDT 15,000,000 in the 1st year of commercial operation and BDT 25,000,000 in the 2nd year. Thereafter, expenses are expected to raise 20% annually. Industry experts forecast that Cash flows after 5th year of commercial operation likely to grow at 4% perpetually. From this following cash flow can be drawn:

	Year 0	**Year 1**	**Year 2**	**Year 3**	**Year 4**	**Year 5**
Investment	(170,000,000)	-	-	-	-	-
Working capital	(30,000,000)	-	-	-	-	-
Sales	-	135,000,000	155,000,000	175,000,000	180,000,000	189,000,000
Cost of revenue	-	(87,750,000)	(100,750,000)	(113,750,000)	(117,000,000)	(122,850,000)
Admin expenses	(3,000,000)	(15,000,000)	(25,000,000)	(30,000,000)	(36,000,000)	(43,200,000)
Gross Cash flow	**(203,000,000)**	**32,250,000**	**29,250,000**	**31,250,000**	**27,000,000**	**22,950,000**
Terminal value*						**216,981,818**

Total cash flow	**(203,000,000)**	**32,250,000**	**29,250,000**	**31,250,000**	**27,000,000**	**239,931,818**
PVIF	1	0.8696	0.7561	0.6575	0.5718	0.4972
Present Value	(203,000,000)	28,044,600	22,115,925	20,546,875	15,438,600	119,294,100
NPV			**2,440,100**			

* Terminal value = Cash flow @ Y6/(d-g) where d is discount rate of 14% & g is growth rate of 4%.
= (22,950,000 x 1.04)/ (15%-4%)
= 216,981,818

Based on the calculation, it is expected that setting up the Tiles Factory will generate positive NPV of BDT 2,440,100. As NPV of the option is positive, Infinity may be consider setting up the tiles Factory.

4.3. Execution recommendation to the board with justification:

Infinity has two options at hand for execution. As the options are mutually exclusive, it can select only one investment option for execution. Therefore, it should select the option that is commercially viable and supports its mission and vision. The NPV analysis of the two investment options reveals that both options have positive NPV. This means both options are commercially viable. However, setting up 'sanitaryware factory' in joint venture with TSL will generate highest NPV which is BDT 3,567,894. Setting up this option will allow Infinity to make related diversification of the business. Therefore, Infinity should select "JV with TSL" option.

4.4. Comment on compatibility with Infinity's Mission & vision:

Both investment options align with Infinity's mission of delivering high-quality ceramics through innovation and sustainability. The TSL joint venture offers advanced technology and global exposure but limits Infinity's brand control in sanitaryware. In contrast, setting up a tiles factory allows Infinity to maintain full control over design, quality, and innovation, directly supporting its commitment to craftsmanship and industry growth in Bangladesh.

From a vision standpoint, the tiles factory investment is a stronger fit as it supports Infinity's goal of becoming a globally recognized brand. It enhances market reach by offering both premium and affordable tiles, reinforcing Infinity's leadership in design, technology, and sustainability. While the TSL partnership provides international access, operating under another brand may limit Infinity's ability to build its own identity. Thus, the tiles investment better supports Infinity's long-term ambition of setting industry standards and strengthening its global presence.

4.5. Conclusion:

- ✦ Both options are profitable, with the TSL joint venture (BDT 3,567,894 NPV) offering a higher return than the tiles factory (BDT 2,440,100 NPV).
- ✦ The TSL joint venture provides international exposure and technology transfer, but licensing fees reduce long-term profitability.
- ✦ The tiles factory ensures full brand control and market independence, aligning better with Infinity's vision of global brand recognition.

- ✦ Sanitaryware has strong export potential, while tiles cater to the booming domestic real estate sector, offering stable demand.

- ✦ The tiles factory requires a higher investment (BDT 200 million) and carries greater financial risk, while TSL shares expertise, reducing market entry risks.

- ✦ TSL's structured financial benefits contrast with the tiles factory's need for greater working capital and independent branding.

- ✦ Infinity's mission supports both options, but the tiles factory aligns better with craftsmanship and design leadership, while TSL prioritizes efficiency and global reach.

- ✦ Regulatory hurdles differ, with the TSL joint venture facing international licensing constraints, while the tiles factory must navigate local industry regulations.

- ✦ The final choice depends on priorities—for immediate returns and global exposure, the TSL joint venture is ideal; for brand control and long-term market leadership, the tiles factory is the better option.

4.6. Recommendation:

- ✦ Prioritize the TSL joint venture as it offers a higher NPV (BDT 3,567,894) than the tiles factory (BDT 2,440,100), making it the better financial choice for short-term profitability.

- ✦ Negotiate the licensing and technical know-how fees with TSL to reduce long-term costs and explore opportunities for Infinity to develop its own sanitaryware brand.

- ✦ Plan for future expansion into tiles manufacturing even if the joint venture is chosen, ensuring Infinity maintains long-term brand control and captures the growing domestic market.

- ✦ Conduct a detailed market study on export demand for sanitaryware to validate Infinity's ability to compete internationally and maximize potential revenue.

- ✦ Ensure strong financial governance and cost control, particularly with an IPO on the horizon, to maintain investor confidence and long-term stability.

- ✦ Assess potential regulatory and compliance challenges, including licensing agreements for the joint venture and industry approvals for the tiles factory, to mitigate risks.

- ✦ Explore phased expansion, beginning with the TSL joint venture for immediate returns, while preparing to enter the tiles business in the future to strengthen Infinity's brand identity.

- ✦ Leverage government incentives such as export rebates, tax benefits, and infrastructure support to enhance profitability and financial sustainability.

5. Evaluation of viability of sale & lease back of land as financing option (Requirement b-ii):

Infinity has been considering selling one of its lands at BDT 150,000,000 and lease it back for 10 years at annual lease payment equivalent to 10% of the sales price which is 15,000,000. After 10 year the lease may be renewable but at this point it is not certain. Any shortage of fund for financing from lase & leaseback transaction will be covered by bank loan. Infinity determines that its incremental borrowing rate is 10%. Based on the provided information, following cash flow can be drawn up which shows that present value of the sale and leaseback transaction.

Year	Cash Flow	PVIF	Present Value
Y0	150,000,000	1.00	150,000,000
Y1	(15,000,000)	0.9091	(13,636,500)
Y2	(15,000,000)	0.8264	(12,396,000)
Y3	(15,000,000)	0.7513	(11,269,500)
Y4	(15,000,000)	0.6830	(10,245,000)
Y5	(15,000,000)	0.6209	(9,313,500)
Y6	(15,000,000)	0.5645	(8,467,500)
Y7	(15,000,000)	0.5132	(7,698,000)
Y8	(15,000,000)	0.4665	(6,997,500)
Y9	(15,000,000)	0.4241	(6,361,500)
Y10	(15,000,000)	0.3855	(5,782,500)
	Net Present Value		**57,832,500**

Analysis shows that the selling the land at BDT 150 million and paying lease payment for 1.5 million for 10 years will result in net present cash flow of BDT 57.8 million. This means that Infinity may process with the sale and leaseback of the land. With proceeds from sale of land it can finance BDT 150 million of the 155 million required fund for setting up the JV with TSL.

5.1. Conclusion:

- ✦ Selling the land for BDT 150 million and leasing it back for 10 years results in a net present cash flow of BDT 57.8 million, making it a financially viable option.
- ✦ Lease payments of BDT 15 million per year are manageable given Infinity's incremental borrowing rate of 10%, ensuring that the transaction does not create excessive financial strain.
- ✦ The sale proceeds cover BDT 150 million of the BDT 155 million needed for the TSL joint venture, minimizing the need for additional bank loans and reducing financing risk.
- ✦ Any shortfall in funding can be covered through bank loans, which may be preferable to using internal cash reserves, allowing Infinity to maintain liquidity for operations.
- ✦ Uncertainty around lease renewal after 10 years should be considered, as Infinity may need to renegotiate terms or explore alternative options if market conditions change.

- ✦ Proceeding with the sale and leaseback aligns with Infinity's expansion plans, ensuring capital availability while maintaining operational continuity at the leased site.

5.2. Recommendation:

- ✦ Proceed with the sale and leaseback, as it provides BDT 150 million upfront cash and a net present cash flow of BDT 57.8 million, covering most of the TSL joint venture funding with minimal debt reliance.
- ✦ Negotiate flexible lease renewal terms, as the 10-year renewal is uncertain, to avoid future relocation costs or rent hikes.
- ✦ Secure funding for the remaining BDT 5 million shortfall through short-term bank loans or government-backed financing without straining liquidity.
- ✦ Assess future land appreciation, given Bangladesh's 8-10% annual real estate growth, to ensure selling now is the best long-term financial decision.
- ✦ Ensure stable lease costs by negotiating clauses that prevent excessive rent increases after 10 years.
- ✦ Monitor interest rates and borrowing conditions to evaluate if a debt-based alternative might be more cost-effective than a leaseback in the long run.

6. Expected share premium in IPO and number of new shares to be issued (Requirement b-iii):

6.1. Evaluation of acceptability of expected share premium by BSEC:

Infinity's board has been considering financing the selected investment option by issuing maximum 25% shares in IPO at 400% premium subject to approval of Bangladesh Securities & Exchange Commission (BSEC). As listed companies have per share face value of BDT 10 taka, share premium will be BDT 40 taka. While approving share premium, BSEC considers the NAV, EPS and sectoral PE ratio with equal importance. From the provided information, average market price and EPSs of other comparable companies of the sector were as follows:

SL.	Company Name	NAV on February 2024 (BDT)	3-month average market price (BDT)	EPS on December 2024 (BDT)
1	Fu-Wang Ceramics Ltd.	12	15	0.28
2	Monno Ceramic Ltd.	80	78	0.32
3	RAK Ceramics Ltd.	18	27	0.35
4	Shinepukur Ceramics Ltd.	31	16	1.40
5	Standard Ceramics Ltd.	14	82	20.36

Average	**31**	**43.6**	**4.54**

Share Premium Based on NAV:

Based on Infinity's adjusted financial statements in annexure-1 of this report, total asset is BDT 1,358,039,942 and number of outstanding shares is (Share capital BDT 241,435,600/ BDT 10 per share) = 24,143,560. Therefore, the Infinity's NAV is 56.25 per share. Based on average NAV and market price of the comparable companies, Infinity's expected share price would be

= Market price x (Infinity's NAV/Average NAV)

= 43.6 x (56.25 / 31) = 79.11 = 79 (approximate)

Therefore, Infinity's share price based on NAV method will be BDT 79 per share. In that case, share premium would be 79 – 10 = BDT 69 per share.

Share Premium Based on EPS:

Based on annexure-2 of this report, Infinity has experienced loss of BDT 19,821,547 for the year 2024. As it has experienced loss, it will not be able to determine indicative share price based on EPS method. If, however, pre-adjusted profit is considered, Infinity's net profit for the year was BDT 70,189,041. So, Infinity's EPS is BDT 70,189,041/ 24,143,560 = 2.91.

Considering the EPS of comparable companies and their market price, Infinity's indicating share price will be derived at:

= Market price x (Infinity's EPS/Average EPS) =

43.6 x (2.91/4.54) = 27.9 = 28 approximately.

Therefore, maximum share premium would be 28 – 10 = BDT 18 per share.

Share Premium Based on Sectoral PE:

From the provided information, sector's price earnings (P/E) ratio is 37.44. Considering pre-adjusted profit, Infinity's earnings per share is BDT 2.91. Hence, share price = 37.44 x 2.91 = 108.95 = 109 approximately.

Considering the sectoral P/E, Infinity's indicating share price will be 109 and maximum share premium would be 109 – 10 = BDT 99 per share. However, if the post adjusted loss is considered, indicative share price based on sectoral PE can not be determined.

Acceptable Share Price by BSEC:

From the Analysis it appears that considering all NAV, EPS and Sectoral PE with equal weight, BSEC is likely to approve share price of (79+28+109)/3 = 72 per share. That means maximum share premium that BSEC will accept is 72 – 10 = 62 considering pre-adjusted net profit. As Infinity management is expecting to raise share premium of BDT 40, it is likely that BSEC will approve the IPO with 400% share premium. However, if adjusted loss for the year is considered, BSEC may not

approve share premium as share price based on EPS and sectoral PE cannot be derived. In that case share need to be issued at Face Value of BDT 10.

6.2. Number of new shares to be issued:

In order to finance the JV with TSL, Infinity will require to raise BDT 203,000,000 after 3% issue cost in IPO at share price of BDT 50 including 400% share premium. Therefore, total number of new shares to be issued is:

= [203,000,000/(1-0.3)]/50 = 209,278,350.5 / 50 = 4,185,567 new shares.

Infinity at present has 24,143,560 outstanding shares. After IPO, total number of shares will be = (24,143,560 + 4,185,567) = 28,329,127 shares. Post IPO, Infinity's existing shareholders will own (24,143,560/28,329,127) = 85.23% shares. That means Infinity will issue only 14.77% shares in IPO which is within the acceptable limit of 25% set by board of directors.

6.3. Conclusion:

- Infinity is likely to receive BSEC approval for a 400% share premium, as maximum share price of acceptable to BSEC is BDT 72 based on NAV, EPS, and sectoral PE and this is higher than the proposed IPO price of BDT 50 per share.
- BSEC approval depends on whether pre-adjusted or post-adjusted profit is considered. If adjusted losses are taken into account, Infinity may need to issue shares at face value (BDT 10), significantly reducing IPO proceeds.
- NAV-based valuation supports a BDT 69 share premium, while sectoral PE indicates a premium of BDT 99, showing strong market potential despite Infinity's recent losses.
- A total of 4,185,567 new shares will be issued, bringing the total number of shares to 28,329,127, with existing shareholders retaining an 85.23% stake.
- Infinity remains within the board-approved 25% IPO issuance limit, ensuring that the dilution impact on existing shareholders is minimal.
- If BSEC does not approve the premium due to adjusted losses, alternative funding options must be explored, such as strategic partnerships or bank financing for the TSL joint venture.
- Successful IPO execution will provide BDT 203 million in funding, covering Infinity's investment needs while keeping equity dilution within a manageable range.

6.4. Recommendation:

- Proceed with the IPO at a 400% share premium, as BSEC approval is likely given the expected share price of BDT 72 per share, which supports the proposed IPO price of BDT 50 per share.

- ✦ Prepare contingency plans in case BSEC rejects the premium, since approval depends on whether pre-adjusted or post-adjusted profit is considered. Alternative funding options, such as strategic partnerships or bank financing, should be explored.

- ✦ Strengthen financial reporting and governance to improve future earnings visibility, ensuring that adjusted losses do not affect investor confidence and IPO approval.

- ✦ Communicate clearly with investors and regulators by highlighting NAV-based valuation (BDT 69 premium) and sectoral PE-based valuation (BDT 99 premium) to reinforce the company's market potential.

- ✦ Ensure effective IPO execution by minimizing issue costs and maximizing subscription interest, ensuring that BDT 203 million is raised for the TSL joint venture without excessive share dilution.

7. Non-financial factors to be considered for both financing options (Requirement b-iv):

When considering financing options, following non-financial factors should be considered:

✞ Non-financial factors in Sale and Leaseback Option

- ✦ **Lease Renewal Uncertainty:**
  The lease agreement is for 10 years, but renewal terms are not guaranteed. This poses a long-term risk if the lease cost increases significantly or if renewal is denied.

- ✦ **Loss of Ownership:**
  Selling the land means Infinity loses control over an asset, limiting future strategic flexibility.

- ✦ **Operational Stability:**
  Since the land is leased back, Infinity can continue its operations without relocating, ensuring business continuity.

- ✦ **Reputation and Market Perception:**
  Investors and stakeholders may view selling key assets as a sign of financial distress, impacting company credibility.

- ✦ **Dependence on Bank Loan:**
  Any shortfall after the sale may need to be covered by bank loans, which could limit future borrowing capacity.

- ✦ **Real Estate Market Appreciation:**
  If land values rise over time, Infinity may lose out on future gains by selling the property now.

✞ **Non-financial factors in IPO Financing Option**

✦ **Governance and Reporting Requirements:**
Listing on the stock exchange mandates adherence to BSEC's corporate governance codes, including independent directors, financial disclosures, and audit committees.

✦ **Shareholder Influence:**
New shareholders may demand greater transparency, accountability, and strategic changes, limiting the board's decision-making power.

✦ **Dilution of Ownership:**
Issuing new shares reduces the percentage of ownership held by existing shareholders, potentially affecting control over company decisions.

✦ **Long-Term Commitment:**
An IPO is a long-term commitment requiring consistent financial reporting and investor relations efforts.

✦ **Market Conditions:**
The IPO's success depends on market sentiment, and a downturn could lead to lower-thanexpected capital raising or undervaluation of shares.

✦ **Restricted Debt Options:**
During the first five years post-IPO, new bank loans require shareholder and BSEC approval, limiting financial flexibility.

Conclusion:

✦ While providing immediate capital, Sale and Leaseback Option results in the loss of ownership of a valuable asset, reducing strategic flexibility.

✦ In Sale and Leaseback Option, there is uncertainty regarding lease renewal after 10 years which pose future financial risks, especially if lease costs increase significantly.

✦ Any funding shortfall from Sale and Leaseback Option will be covered by bank loans, but as the asset is disposed, it could limit Infinity's future borrowing capacity.

✦ The potential appreciation of real estate values means that selling now could lead to a long-term opportunity cost if property prices rise in the future.

✦ In IPO financing, regulatory compliance with BSEC will add complexity and oversight, including governance requirements such as independent directors and mandatory reporting.

- ✦ Issuing shares through IPO will dilutes ownership, reducing existing shareholders' control over business decisions.

- ✦ The IPO imposes a long-term commitment to investor relations and financial disclosures, increasing administrative responsibilities.

- ✦ Post-IPO, debt financing is restricted for the first five years without shareholder and BSEC approval, limiting financial flexibility.

Recommendation:

- ✦ In case of sale & lease back option, negotiate flexible lease terms to ensure renewal clauses are favourable and prevent excessive rent increases after 10 years avoiding future financial strain.

- ✦ Consider Alternative Financing Sources like partial asset sales or joint ventures to retain some ownership while securing necessary funds.

- ✦ Maintain Liquidity Reserves to ensure that Infinity's borrowing capacity remains sustainable in case bank loans are needed to cover shortfalls from sale & leaseback.

- ✦ Implement a communication strategy to reassure stakeholders that the sale of land is part of a strategic growth plan rather than financial distress.

- ✦ In case of IPO financing, ensure Compliance with BSEC Regulations and prepare the company for additional governance and reporting requirements, including appointing independent directors and forming an audit committee.

- ✦ Manage Ownership Dilution Strategically by limiting the percentage of shares issued to balance capital raising with retaining board control.

- ✦ Monitor Market Conditions to decide the Time of IPO launch to ensure favourable investor sentiment and maximize valuation.

8. Comment on the ethical issues involving Infinity's business (Requirement C-i):

8.1. Ethical issues:

From analysis of the provided information, several ethical issues have been identified which involves Infinity Ceramics Limited's existing and planned business, suppliers, customers, and service providers:

- ✦ **Worker Protests and Wage Disputes:**

Infinity's unresolved wage increment issue, despite inflation concerns, suggests potential unfair labor practices. Workers rejected a 5% increment and demanded 10%, which Infinity has not yet settled. This situation raises ethical concerns about fair compensation.

- **Unsafe Working Conditions:**
  Despite a significant reduction in workplace injuries, Infinity has faced a fire accident resulting in worker fatalities. Lawsuits from the affected families indicate potential non-compliance with safety regulations.

- **Unclear Supplier Selection:**
  Infinity's sole reliance on a packing material supplier chosen based on a factory manager's trust raises concerns about transparency and potential discrimination.

- **Excessive Mining Impact:**
  The unregulated extraction of clay, feldspar, and quartz used in ceramics production has led to land degradation and displacement of indigenous communities.

- **Political Ties and Business Risks:**
  Infinity's major customer, Elegant Hospitality, is linked to a politically exposed person. The recent freezing of Elefant's bank accounts and inability to pay raises concerns about business reliance on politically affiliated entities.

- **Contractual Issues with Export Clients:**
  Infinity failed to meet an export order deadline due to political unrest and now faces a BDT 20,00,000 penalty. This indicates poor risk management and potential contractual non-compliance.
- **Revaluation of Land for Financial Gain:**
  Infinity revalued its land to BDT 100,000,000 and recognized the gain as income. This practice could be misleading to investors, as revaluation should not impact the profit & loss statement.

- **Undisclosed Financial Risks:**
  Infinity has not properly disclosed and considered the financial risks in the financial statements. Its investment in volatile shares (Red Plum Ltd.) has not been adjusted despite losses. Furthermore, pending worker compensation lawsuits (BDT 5,000,000) and bad debts risk from Elegant Hospitality (BDT 1,300,000) is not initially reflected in financial statements.

- **Lack of Independent Oversight:**
  As a family-run business, Infinity has no independent board members, increasing risks of biased decision-making.

8.2. Conclusion

- Unresolved wage disputes and unsafe working conditions highlight potential violations of fair labour practices. Legal action from worker fatalities further indicates possible non-compliance with safety standards.

- A lack of transparency in supplier selection and over-reliance on a single vendor raise ethical concerns regarding favouritism and accountability.

- The unregulated extraction of raw materials has led to land degradation and displacement of indigenous communities, while high fossil fuel dependency raises sustainability concerns.

- The revaluation of land for financial gain and undisclosed financial risks (including bad debts, investment losses, and legal liabilities) could mislead investors and stakeholders.

- Heavy reliance on politically exposed customers exposes the company to financial instability and reputational damage.

- Failure to meet export deadlines and facing penalties from international buyers indicate poor risk management and contractual non-compliance.

- The lack of independent oversight in a family-run business structure increases risks of biased decision-making and governance issues.

8.3. Recommendation

- Conduct an independent industry analysis to determine a fair wage increase, aligning it with inflation and competitor benchmarks. Ensure clear communication with employees to prevent further unrest.

- Implement stricter safety protocols, ensure proper PPE usage, and conduct third-party safety audits to address gaps. Incorporate worker compensation provisions in financial statements.

- Avoid favouritism by introducing a transparent supplier selection process and conduct periodic reviews to assess supplier compliance with quality & ethical standards.

- Improve financial reporting process to avoid intentional misstatement in the financial reporting. Furthermore, introduce independent board members and engage external auditors to improve financial decision-making & governance.

- Reduce reliance on politically exposed entities like Elegant Hospitality to mitigate financial risks associated with political changes.

- Improve contractual terms and risk assessments to handle geopolitical disruptions and avoid penalties from export clients.

9. Assessment of sustainability factors of Infinity's business (Requirement C-ii).

A business can earn sustainability when it achieves Human Sustainability, Social Sustainability, Economic Sustainability and Environmental Sustainability. Infinity's business has potential to contribute significantly to human, social, economic, and environmental sustainability. Below is an analysis based on these dimensions:

9.1. Human Sustainability:

- **Unresolved Wage Disputes:**
  Workers protested a 5% wage increase, demanding at least 10% due to inflation, but Infinity has yet to finalize the increment. This affects employee morale and could lead to labor unrest.

- **Unsafe Working Conditions:**
  Despite improvements, a factory fire resulted in worker fatalities, leading to lawsuits. This indicates potential non-compliance with safety regulations.

- **Lack of Proper Safety Measures:**
  The ceramics industry exposes workers to silica dust and toxic glazes, leading to health risks such as silicosis. Infinity must ensure proper PPE usage and ventilation systems.

- **Skilled Workforce Development:**
  Infinity provides 10,000+ training hours across 55 programs, showing commitment to skill enhancement, but more focus on ergonomic workplace design is needed.

- **Gender and Diversity Issues:**
  The industry often underpays female workers and offers limited career growth opportunities. There is no mention of diversity or gender policies at Infinity, raising concerns.

9.2. Social Sustainability

- **Supplier Transparency Issues:**
  Infinity relies on a single vendor for packaging materials based on the factory manager's personal trust, raising concerns about favouritism and lack of competitive procurement.

- **Impact on Local Communities:**
  Mining for raw materials like clay, feldspar, and quartz causes land degradation and displacement of indigenous communities, particularly in Mymensingh and Netrokona.

- **Corporate Social Responsibility (CSR):**
  Infinity supports education, healthcare, and skill development programs, but these efforts should be expanded to include livelihood restoration for communities affected by raw material extraction.

- **Political Risks and Customer Dependence:**
  A key customer, Elegant Hospitality, is linked to a politically exposed person whose bank accounts were frozen. Heavy reliance on politically connected clients increases business instability and ethical concerns.

9.3. Economic Sustainability

- **Declining Revenue & Profitability:**

Revenue dropped from BDT 578M (2023) to BDT 392M (2024) due to reduced export sales and changing consumer behavior. Profitability is supported by land revaluation gains, which is unsustainable.

- **Risky Financial Practices:**

Infinity revalued land to BDT 100M and recorded it as income, which could mislead investors. Pending legal liabilities and bad debts are not fully disclosed, creating financial risk.

- **Lack of Independent Governance:**

The company is family-run with no independent directors, increasing the risk of biased decisionmaking and governance failures.

- **Export Market Decline:**

Exports have declined due to shifting consumer trends, impacting Infinity's long-term growth. No clear strategy for market diversification is mentioned.

- **Planned Expansion Risks:**

The company plans to invest in sanitaryware (via joint venture) or tile production, both of which require high capital investment and depend on an uncertain energy supply.

9.4. Environmental Sustainability

- **High Fossil Fuel Dependency:**

The ceramics industry in Bangladesh is heavily reliant on natural gas, and recent gas shortages have disrupted production. Infinity has no clear transition plan for alternative energy sources.

- **Water and Waste Management:**

While Infinity recycles wastewater, improper disposal of toxic ceramic waste and excessive water usage remain concerns.

- **Air Pollution and Emissions:**

The ceramics manufacturing process emits CO_2, SOx, and NOx, contributing to air pollution. There is no mention of Infinity adopting cleaner production methods.

- **Raw Material Exploitation:**

Mining of feldspar, quartz, and clay for ceramics production causes land degradation, loss of biodiversity, and environmental instability.

- **Green Initiatives in Place:**

Infinity has some sustainability practices, such as wastewater recycling and sustainable packaging, but greater investments in eco-friendly kilns and renewable energy sources are needed.

9.5. Conclusion

- Wage disputes remain unresolved, increasing the risk of labour unrest. Workers demand higher wages due to inflation, but no agreement has been reached.

- Gender inequality persists, with female workers often underpaid and facing limited career growth. No clear diversity policies are in place.

- Supplier favouritism raises transparency concerns, as Infinity relies on a single vendor for packaging without a competitive selection process.

- Mining displaces communities and degrades land, particularly in Mymensingh and Netrokona. The impact on indigenous groups remains unaddressed.

- Politically exposed clients create financial instability, as seen with Elegant Hospitality's frozen bank accounts, impacting Infinity's receivables.

- Export decline threatens long-term growth, with no clear diversification strategy in place to address shifting market demands.

- Heavy fossil fuel use worsens the impact of Bangladesh's ongoing gas crisis, threatening production stability.

- Waste management and water use need improvement, as improper disposal of toxic materials remains a concern despite some recycling efforts.

- Air pollution remains unchecked, with high emissions of CO_2, SOx, and NOx, and no clear investment in cleaner production methods.

- Some sustainability efforts exist, such as wastewater recycling and sustainable packaging, but they need scaling up with greater investment in green technologies.

9.6. Recommendation

- Resolve wage disputes and improve safety by finalizing fair wage increments and strengthening workplace safety measures, including PPE enforcement and third-party audits.

- Ensure fair supplier selection and ethical sourcing by implementing a transparent procurement process and regularly reviewing supplier compliance with quality and ethical standards.

- Strengthen financial transparency and governance by avoiding misleading land revaluation gains, disclosing all financial risks, and appointing independent board members.

- Diversify customer base and reduce political risk by expanding to new markets and reducing dependency on politically exposed clients to ensure financial stability.

- ✦ Develop a clear export strategy by identifying new international markets, improving risk management, and enhancing production efficiency to address declining exports.

- ✦ Assess expansion feasibility carefully by conducting detailed cost-benefit analysis for sanitaryware and tile ventures, considering financial viability and energy supply risks.

- ✦ Reduce environmental impact and resource dependency by investing in cleaner production technologies, alternative energy sources, and better waste management practices.

- ✦ Enhance corporate social responsibility (CSR) by supporting communities affected by raw material extraction through livelihood programs, education, and environmental restoration initiatives.

---xXx---

10. Appendices:

10.1. Appendix 1 - Analysis of Adjusted Balance Sheet:

As at 30 June 2024

	2024	Adjustment	Adjust 2024	Restated 2023
Assets				
Non-Current Assets				
Property, plant & equipment	522,134,977	80,000,000	602,134,977	472,944,580
Capital work in progress	62,217,681	-	62,217,681	31,560,321
Statement of Financial Position				
Investments	72,025,600	(2,900,600)	69,125,000	72,025,600
	656,378,258	**77,099,400**	**733,477,658**	**576,530,501**
Current Assets				
Inventories	298,399,355	(1,150,000)	297,249,355	276,236,266
Trade & other receivables	108,816,462	(1,300,000)	107,516,462	107,050,803
Advance, deposits & pre-payments	51,390,461	-	51,390,461	49,453,582
Advance income Tax	87,781,206	-	87,781,206	141,892,458
Cash & cash equivalents	80,624,800	-	80,624,800	41,328,335
	627,012,284	**(2,450,000)**	**624,562,284**	**615,961,444**
Equity & Liabilities				
Shareholders' Equity				
Share capital	241,435,600	-	241,435,600	241,435,600

Restated Retained earnings	171,677,467	(26,010,588)	145,666,879	85,488,426
Revaluation surplus	-	96,000,000	96,000,000	16,000,000
	413,113,067	**69,989,412**	**483,102,479**	**342,924,026**
Non-Current Liabilities				
Long term loan	202,948,294	-	202,948,294	165,984,133
Deferred Tax liability	127,747,670	-	127,747,670	125,401,852
Deferred liability	5,941,729	-	5,941,729	6,043,297
	336,637,693	**-**	**336,637,693**	**297,429,282**
Current Liabilities				
Long term loan (current portion)	76,288,000	-	76,288,000	76,288,000
Short term borrowings	315,597,181	31,428	315,628,609	314,467,609
Trade & other payables	61,598,785	2,000,000	63,598,785	70,588,835
Provisions & accruals	24,927,545	2,628,560	27,556,105	29,743,767
Provisions for income tax	55,228,271	-	55,228,271	61,050,426
Total				
1,283,390,542	**74,649,400**	**1,358,039,942**	**1,192,491,945**	
	~~533,639,782~~	~~4,659,988~~	~~538,299,770~~	~~552,138,637~~
Total Liabilities	**870,277,475**	**4,659,988**	**874,937,463**	**849,567,919**
Total Liabilities & Equity	~~1,283,390,542~~	~~74,649,400~~	~~1,358,039,942~~	~~1,192,491,945~~

10.2. Appendix 2 - Analysis of Adjusted Statement of Profit & Loss:

Statement of Profit or Loss and Other Comprehensive Income
For the year ended 30 June 2024

	2024	Adjustment	Adjusted 2024	2023	Change	Change %
Revenue	392,264,452	-	392,264,452	578,641,261	(186,376,809)	-32.21%
Cost of revenue	(333,769,424)	(1,150,000)	(334,919,424)	(464,667,001)		
	58,495,028	**(1,150,000)**	**57,345,028**	**113,974,260**		
		129,747,577		-27.92%		
Administrative expenses	(24,361,345)	(8,860,588)	(33,221,933)	(26,159,310)	(7,062,623)	27.00%
Selling & distribution expenses	(10,599,116)	-	(10,599,116)	(12,456,687)	1,857,571	-14.91%

Gross Profit					(56,629,232)	-49.69%
Other income	134,983,997	(80,000,000)	54,983,997	9,527,127	45,456,870	477.13%
Profit from operation	**158,518,564**	**(90,010,588)**	**68,507,976**	**84,885,390**	(16,377,414)	-19.29%
Finance cost	(55,146,330)	-	(55,146,330)	(39,184,363)	(15,961,967)	40.74%
Profit before WPPF	**103,372,234**	**(90,010,588)**	**13,361,646**	**45,701,027**		
Contribution to WPPF	(4,922,488)	-	(4,922,488)	(2,176,239)	(2,746,249)	126.19%
Profit before Tax	**98,449,746**	**(90,010,588)**	**8,439,158**	**43,524,788**		
Income tax expenses	(28,260,705)	-	(28,260,705)	(18,612,671)	(9,648,034)	51.84%
	70,189,041	**(10,010,588)**	**(19,821,547)**	**24,912,117**		
Net profit for the year	**70,189,041**	**(90,010,588)**	**(19,821,547)**	**24,912,117**	(44,733,664)	-179.57%
Other comprehensive income	-	80,000,000	-	-		
Total comprehensive income						

10.3. Appendix 3 - Mix analysis:

Based on the reported revenue:

		2024	2023	Mix% in 2024	Mix% in 2023	
Revenue						
Local sales		310,525,638	483,633,954	79.16%	83.58%	
Export sales		81,738,815	95,007,308			20.84%
	16.42%	**392,264,453**	**578,641,262**			
						Export sales
Cost of revenue						
Local sales		270,353,233	378,703,606	80.72%	81.50%	
				64,566,191	85,963,395	19.28%
	18.50%			**334,919,424**	**464,667,001**	
						Export sales
Gross Profit						(adjusted)
Local sales		40,172,405	104,930,348	70.05%	92.06%	
				17,172,624	9,043,913	
	29.95%		7.94%	**57,345,029**	**113,974,261**	

10.4. Appendix 4: Ratio Analysis:

Sl.	Ratio Name	30-Jun-24	30-Jun-23
1	Current Ratio	1.16	1.12
2	Quick Ratio	1.21	1.08
3	Debt to equity ratio	1.81	2.48
4	Asset Turnover Ratio	0.29	0.49
5	TIE Ratio	1.15	2.11
6	Return on Asset	-1.46%	2.09%
7	Return on Equity	81.20%	168.74%

----------END----------